



MARKET IMPACT The dispute between Gautam Singhania (pictured) and wife Nawaz Modi Singhania sparked a 14 per cent fall in stock prices in November

The head of research at a domestic brokerage says the dispute is worrying. "Ultimately, investors put their money behind individuals and back them. When we are dealing with issues related to ethics around the family, it does spill over to the business and has a very adverse effect on the shareholders."

The dispute's impact on the company's fortunes is not clear. In FY23, its consolidated revenue stood at ₹8,337 crore with a net profit of ₹537 crore, which was twice that of the fiscal preceding it.

The business is broken into six segments: branded textiles, apparel, garmenting, high-value cotton shirting, engineering, and real estate. The sharpest revenue spike is in real estate, which has grown from a modest ₹20 crore in FY19 to ₹1,115 crore in FY23. The company has 120 acres

THE FIRM'S INDEPENDENT DIRECTORS HAVE SAID THEY WILL PROTECT THE INTERESTS OF STAKEHOLDERS

in Thane, Maharashtra, of which 24 acres are currently being developed. On July 11, Singhania told Raymond shareholders that three projects are underway in Thane with the permissions received for a fourth.

It appears to be in good health in other respects, too, especially after the slump sale of its FMCG business consisting of brands like Park Avenue

(deodorant) and KamaSutra to Godrej Consumer Products last financial year for ₹2,825 crore. "Recently, we announced the sale of our FMCG business, which has enabled us to become net debt-free at the group level. The sale of deodorants and [the] sexual wellness portfolio along with the Park Avenue and KamaSutra trademarks, to Godrej Consumer Products is a move in this direction," Singhania said in a letter to shareholders.

The other big news was a demerger of the lifestyle business to simplify the group structure. Consequently, the currently-listed Raymond Ltd will primarily be a real estate firm with investments in engineering and denim. Raymond Consumer Care, the lifestyle business, will be listed and house the textiles, apparel, garmenting, and shirting businesses with the ColorPlus, Raymond, Park Avenue (shirting), and Parx brands, among others.

A report by Motilal Oswal Financial Services in September, much before the dispute became public, outlined that Raymond is an established brand, but its penetration remains significantly underexplored. Over the last two to three years, the company has been revitalised through strategic initiatives and a strengthened senior leadership team. Plus, the restructuring will drive growth, it said. "These efforts are likely to be the key growth drivers going forward. We expect consolidated revenue/PAT growth of 10 per cent/19 per cent over FY23-25." Specifically on real estate, it said steady execution has resulted in a pre-sale of ₹4,200 crore since its launch in FY19. "We believe the large opportunity size, healthy balance sheet, strong cash flow potential, and emphasis on capital allocation should aid in achieving the annual project addition targets of ₹2,500-3,000 crore."

Investors will hope that this earlier optimistic scenario will continue in the changed circumstances. **BT**

@krishnagopalan